Theory case · Topic 2 · 2 points · 15 min

C09 — Costa Airport: profit maximization or value creation?

A private company operates Costa Airport. A new board member argues: "Our only objective is to maximize this year's profit: let's double parking fees, cut the night shift of air-traffic support staff and postpone the runway resurfacing." The finance director replies that the board should instead aim to "maximize the value of the company", and the operations director warns that the airline customers, the unions, the city council and the regional government will all react to such measures.

Part (a) · 1 point

Explain the limitations of profit maximization as the objective of the firm, using the board member's proposal

The proposal follows the classical objective, **profit maximization**, which has four limitations [Slide 3]:

1. **Profit is difficult to define and to quantify:** cutting maintenance raises this year's profit but lowers future profits (a degraded runway, a closure for emergency works).
2. **It ignores risk:** the cuts raise the risk of incidents and of losing airlines, which a single profit figure does not show.
3. **The concept of maximization itself is questionable** [Slide 3]; in practice managers aim at a minimum level of profit that satisfies the shareholders [Slide 4].
4. **It gives an excessive role to the entrepreneur:** in a company like this, ownership and control are separated, and the board, managers and shareholders have different goals.

KEY POINTS

- Profit is hard to define and quantify (this year vs future years).
- It ignores the risk of achieving the profits (postponed resurfacing, safety, reaction of airlines).
- The very idea of "maximizing" is questionable.
- It gives an excessive role to the entrepreneur, whereas ownership and control are separated.

Part (b) · 1 point

Explain why the finance director's objective is the one the course proposes, and how stakeholders shape it

According to **organizational theory**, the objectives of the firm are the **outcome of a negotiation among its stakeholders**: here the shareholders, the airlines (customers), the employees and unions, the city council and regional government (the State), suppliers, banks and society [Slides 5-6]. The negotiation is limited because the firm must **survive** and because **not all groups have the same power**. The objective that satisfies the most powerful group while respecting the others and the firm's survival is to **maximize the value of the enterprise**, to create value [Slide 6]. In the unified vision, value comes from a cycle in which sales generate profits, retained profits finance investments (such as the resurfacing) and these renew the products and markets [Slide 7]; sacrificing the investment for one year's profit breaks that cycle.

KEY POINTS

- Objectives result from negotiation among stakeholders (shareholders, customers, employees, State, society...).
- Constraints: the firm must survive; groups have different bargaining power.
- The resulting objective: maximize the value of the enterprise (create value), linking survival, profit and growth.